Child Care Expenses Deduction for 2023

This information sheet will help you fill out Form T778. The terms child care expenses, eligible child, net income, and earned income are defined on the next page.

Who can claim child care expenses?

If you are the only person supporting the eligible child, you can claim child care expenses you incurred while the eligible child was living with you. Fill out parts A and B, and, if it applies, Part D.

There may have been another person who lived with you at any time in 2023 and at any time during the first 60 days of 2024 who was one of the following:

- the eligible child's parent
- your spouse or common-law partner, if you are the father or the mother of the eligible child
- an individual claiming an amount for the eligible child on line 30400, 30425, 30450, or 30500 of their return

In this situation, the person with the lower net income (including zero income) must fill out parts A and B and claim the child care expenses unless one of the situations in Part C or in Part D applies.

If any of the situations in Part C or in Part D apply, the child care expenses can be claimed by the person with the higher net income, or in part by both the person with the higher net income and the person with the lower net income. In this situation, the person with the higher net income must calculate the claim first. However, you must each fill out a separate Form T778, and fill out parts A and B, and, if it applies, parts C and D.

If both of you have equal net incomes, you have to agree on which one of you will claim the child care expenses.

If you got married or became a common-law partner in 2023, you and your spouse or common-law partner have to consider your net incomes for the whole year. Include child care expenses you both paid for the whole year.

What payments can you claim?

You can claim child care expenses that were incurred for services provided in 2023. These include payments made to any of the following:

- caregivers providing child care services
- day nursery schools and daycare centres
- educational institutions, for the part of the fees that relate to child care services
- day camps and day sports schools where the primary goal of the camp is to care for children (an institution offering a sports study program is not a sports school)
- boarding schools, overnight sports schools, or camps where lodging is involved (read the note in Part A)

If you were a **resident of Quebec**, you can also claim the basic contribution you paid directly to the subsidized childcare service provider.

The above is not a complete list of deductible child care expenses. For more information, see Income Tax Folio S1-F3-C1, Child Care Expense Deduction.

When the child care services are provided by an individual, the individual cannot be any of the following:

- the eligible child's parent
- your spouse or common-law partner, if you are the father or the mother of the eligible child
- a person for whom you or another person listed under "Who can claim child care expenses" claimed an amount on line 30400, 30425, 30450, or 30500 on your return or their return
- a person under 18 years of age who is related to you

A person is related to you if they are connected to you by a blood relationship, marriage or common-law partnership, or adoption. For example, your brother, sister, brother-in-law, sister-in-law, and your or your spouse's or common-law partner's child are related to you. However, your niece, nephew, aunt, and uncle are not.

Supporting documents

The individual or organization who received the payments must give you a receipt showing information about the services provided. When the child care services are provided by an individual, you will need the social insurance number of the individual. If you are filing online, keep all your documents in case the Canada Revenue Agency (CRA) asks to see them at a later date. If you are filing a paper return, attach your completed Form T778, but do not send your other documents. Keep all your documents in case the CRA asks to see them at a later date.

Notes

If you paid an individual to provide child care in your home, you may have some responsibilities as an employer. If you are not sure of your situation, see "For more information" on page 2.

If Canada pension plan contributions and employment insurance premiums have been paid for an individual to provide child care in your home, the share that you have paid would also be considered to be child care expenses.

What payments can you not claim?

You cannot claim payments for any of the following:

- medical or hospital care, clothing, or transportation costs
- fees that relate to education costs at an educational institution, such as tuition fees of a regular program or a sports study program
- fees for leisure or recreational activities, such as tennis lessons or the annual registration for Scouts

You cannot claim expenses for which you or any other person received, or is entitled to receive, a reimbursement of the child care expenses or any other form of assistance not included in the income.

For example, this includes the hiring credit for small business and small business job credit received under the Employment Insurance Act. If your employer paid the child care expenses on your behalf, you can claim the part of the expenses included in your income for the year.

Other situations

When completing the return of a person who died in 2023, claim eligible child care expenses that were paid while that person was living with the eligible child as if they were the only person supporting the child. However, if there was another person (as described under "Who can claim child care expenses?"), that person is also considered the only person supporting the child and can claim eligible child care expenses paid while living with the child, as long as the expenses were not claimed on the return of another person.

If you lived outside Canada for part or all of 2023 and the CRA considers you to be a factual or deemed resident of Canada, you can claim child care expenses that you paid to a non-resident person for services provided outside Canada. For more information on these residency status, go to **canada.ca/cra-determining-residency-status**. For information on other situations in which you can claim child care expenses paid for services provided outside Canada (for example, commuters to the United States), please contact the CRA.

If you immigrated to or emigrated from Canada in 2023, you can claim child care expenses for the period you were in Canada, as long as you qualify.

Definitions

Child care expenses

Child care expenses are amounts you or another person (as described under "Who can claim child care expenses?") paid to have someone look after an eligible child so that you or the other person could do one of the following:

- earn income from employment
- carry on a business either alone or as an active partner
- attend school under the conditions identified under "Educational program"
- carry on research or similar work, for which you or the other person received a grant

The child must have lived with you or the other person when the expense was incurred for the expense to qualify. Usually, you can only deduct payments for services provided in Canada by a Canadian resident. Read "Other situations" above for exceptions.

Eligible child

Child care expenses can only be claimed for an eligible child. An eligible child is one of the following:

- your or your spouse's or common-law partner's child
- a child who was dependent on you or your spouse or common-law partner, and whose net income in 2023 was $15,000 or less

The child must have been under 16 years of age at some time in the year. However, the age limit does not apply if the child had an impairment in physical or mental function and was dependent on you or your spouse or common-law partner.

Net income

Your net income, and that of the other person, is used to determine which person can claim child care expenses. This is the amount from line 23600 of your returns. However, **do not include** amounts for child care expenses (line 21400) and social benefits repayment (line 23500).

Earned income

Your earned income for line 6 in Part B of Form T778 is the total of **all** of the following:

- employment income (including tips and gratuities, and the non-taxable part of an allowance received as an emergency volunteer)
- net self-employment income, either alone or as an active partner (excluding losses)
- the taxable portion of scholarships, bursaries, fellowships and similar awards, and net research grants
- any earnings supplement received under a project sponsored by the Government of Canada to encourage employment or sponsored under Part II of the Employment Insurance Act or any similar program
- disability benefits received from the Canada Pension Plan or the Quebec Pension Plan
- amounts received under the Apprenticeship Incentive Grant program and the Apprenticeship Completion Grant program, administered by Employment and Social Development Canada
- any federal, provincial, or territorial government COVID-19 payments received in the year for which you have received a T4A or T4E

Educational program

An educational program has to be offered by a secondary school, college, university, or other designated educational institution.

This includes any institution certified by the Minister of Employment and Social Development Canada for courses that develop or improve occupational skills. An eligible program has to last at least three consecutive weeks.

Full-time educational program requires students to spend at least 10 hours a week on courses or work in the program.

Part-time educational program requires students to spend at least 12 hours in a calendar month on courses in the program.

For more information

If you need help

If you need more information, go to **canada.ca/taxes** or call **1-800-959-8281**.

Teletypewriter (TTY) users

If you use a TTY for a hearing or speech impairment, call **1-800-665-0354**.

If you use an operator-assisted relay service, call the CRA's regular telephone numbers instead of the TTY number.